

financial portfolio, since the purpose of these buffer assets is to support spending when the portfolio is otherwise down. An old strategy in this category is to maintain a separate cash reserve, perhaps with two or three years of retirement expenses, separate from the rest of the investment portfolio. While this is a safe approach, one disadvantage is that the cash reserve could have otherwise been invested to seek higher returns than cash provides. Cash can be a drag on the portfolio, and in recent years more attention has focused on other alternatives. In a sense, though, cash reserve strategies are just another type of a time segmentation strategy, which are discussed extensively in chapter 7. The two main alternatives discussed are to use the cash value of permanent life insurance policies as a reserve, and to open a line of credit with a reverse mortgage to serve as a reserve. I discuss the latter strategy extensively in my previous book, *Reverse Mortgages: How to Secure Your Retirement with a Reverse Mortgage*.

Further Reading

Bernstein, W. J. 2012. *The Ages of the Investor: A Critical Look at Life-Cycle Investing (Investing for Adults)*. Efficient Frontier Publications. [<http://amzn.to/2s495L2>]

Cotton, Dirk. 2013. “Clarifying Sequence of Returns Risk (Part 2, with Pictures!).” *Retirement Café* (blog), September 20.

Pfau, W. D. 2014. “The Lifetime Sequence of Returns: A Retirement Planning Conundrum.” *Journal of Financial Service Professionals* 68 (1): 53–58.